T-12 OPERATING STATEMENT

Parkview Residences | Atlanta, GA

Property	Parkview Residences
Period Ending	April 19, 2021
Basis	Accrual - Trailing 12 Months
Prepared By	Lumen Residential Services
Size	72 apartment homes

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Re	119,932	123,940	123,192	114,083	113,914	116,344	121,795	124,985	121,789	124,116	113,094	120,251	1,437,435
4010 Loss to Lease	20,236	18,991	20,204	19,827	20,276	20,176	19,385	20,107	18,522	17,865	20,209	20,289	236,087
4020 Vacancy Loss	56,192	54,545	52,785	52,219	53,525	52,649	53,715	55,391	57,236	51,448	53,132	55,948	648,784
4030 Concessions	86,550	87,724	82,042	88,672	86,195	85,646	88,115	83,304	79,532	83,359	90,149	82,961	1,024,249
4040 Bad Debt	112,181	102,042	112,745	114,077	111,888	104,512	100,055	107,512	110,681	110,782	100,780	105,094	1,292,348
4050 Late Fees	21,251	21,263	20,457	20,267	21,772	21,365	20,253	21,974	20,593	20,032	21,509	21,639	252,374
4060 Utility Reimbursem	56,745	54,480	57,522	58,930	59,346	58,335	58,705	55,531	58,533	55,698	57,664	52,191	683,679
4070 Parking Income	80,945	80,263	76,707	76,584	86,009	77,374	78,508	79,759	79,219	83,432	82,138	80,327	961,265
4080 Application Fees	3,551	3,939	3,772	3,874	3,617	3,449	3,704	3,612	3,582	3,843	3,503	3,655	44,101
4090 Pet Rent	64,628	64,343	61,864	59,590	63,750	58,663	59,047	62,136	63,156	61,825	64,034	64,464	747,500
4100 Laundry Income	44,122	40,926	44,780	40,019	40,949	42,927	45,680	45,571	44,140	44,482	44,452	43,818	521,868
4110 Cable/Internet Rev	37,919	37,424	36,370	35,846	37,848	35,105	37,527	36,266	38,008	35,390	39,949	35,481	443,134
4120 CAM Reimbursements	58,805	60,352	59,530	59,502	63,699	63,784	58,813	65,298	59,552	63,865	65,473	58,115	736,788
4130 Tax Reimbursements	101,965	108,991	106,127	108,279	97,601	101,044	97,640	101,759	100,541	103,235	105,853	102,410	1,235,445
4140 Insurance Reimburs	64,407	66,922	64,034	63,718	62,192	59,992	64,940	61,140	67,716	62,652	65,061	63,625	766,398
4150 Percentage Rent	22,642	22,391	22,761	23,262	22,127	20,686	20,971	21,795	23,163	22,172	23,259	23,149	268,377
4160 Misc. Income	30,840	34,577	34,111	32,095	32,999	32,460	34,944	32,025	32,407	31,980	33,372	34,189	395,999
4170 Payroll - Manageme	2,210	2,234	2,178	2,218	2,359	2,182	2,332	2,280	2,208	2,193	2,359	2,306	27,059
4180 Payroll - Leasing	1,387	1,313	1,363	1,299	1,316	1,381	1,354	1,296	1,366	1,275	1,281	1,398	16,029
4190 Payroll - Maintena	6,782	6,984	6,363	6,551	6,798	7,018	6,864	7,063	6,553	7,064	6,912	6,516	81,469
4200 Payroll Taxes & Be	12,201	13,703	13,560	12,510	12,924	13,233	13,113	12,724	13,346	13,116	12,188	12,312	154,929
4210 Repairs - Plumbing	9,895	9,976	10,047	9,225	9,232	9,002	9,050	9,726	9,417	8,880	8,867	9,498	112,814
4220 Repairs - HVAC	9,562	10,719	9,927	9,547	10,204	10,440	9,959	9,528	10,644	9,949	10,262	10,640	121,379
4230 Repairs - Electric	12,087	11,524	12,138	11,685	10,701	10,689	11,685	11,111	11,463	12,058	11,757	12,098	138,997
4240 Repairs - Applianc	12,726	12,787	14,181	13,179	14,408	14,295	12,824	13,870	14,228	14,512	13,075	13,260	163,344
4250 Painting & Decorat	3,821	3,959	4,088	3,924	4,089	3,828	3,837	4,070	3,935	3,705	3,924	3,579	46,760

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4460 Management Fee	3,921	3,978	3,981	3,936	3,491	3,859	3,909	3,523	3,793	3,860	3,857	3,922	46,030
4470 Property Insurance	4,830	4,709	4,895	5,102	4,849	4,988	4,749	5,010	4,946	4,904	5,274	5,201	59,456
4480 Real Estate Taxes	1,911	1,872	1,787	1,776	1,909	1,864	1,953	1,740	1,955	1,854	1,863	1,856	22,342
4490 Asset Management F	12,853	13,819	13,704	13,234	13,126	12,877	13,718	12,665	13,399	13,275	14,034	12,921	159,623
4500 Replacement Reserv	11,219	10,702	11,161	11,677	11,759	10,867	11,878	11,272	11,554	11,292	10,794	10,717	134,892
4510 Roof Repairs	10,974	12,433	12,444	12,138	11,657	11,218	11,116	12,403	12,282	11,666	11,778	11,665	141,775
4520 Parking Lot Repair	8,142	7,524	7,851	8,161	7,764	8,271	7,809	8,108	8,468	8,219	7,560	8,425	96,303
4530 Signage	12,361	10,892	10,953	12,014	10,866	11,039	12,316	11,993	11,256	12,143	10,941	11,315	138,090
4540 Tenant Improvement	4,176	3,909	3,969	3,743	3,973	4,198	4,052	3,882	4,167	4,148	4,116	4,007	48,339
4550 Leasing Commission	2,267	2,349	2,467	2,294	2,471	2,247	2,315	2,252	2,379	2,385	2,193	2,285	27,903
4000 Gross Potential Re	121,760	116,152	125,163	118,472	118,068	124,711	124,502	119,858	126,751	112,973	122,353	118,799	1,449,562
4010 Loss to Lease	14,814	13,528	14,190	14,577	14,701	14,289	14,360	13,433	13,577	13,355	14,196	14,591	169,612
4020 Vacancy Loss	25,885	26,387	27,311	26,419	27,986	25,824	26,965	25,228	25,854	27,772	26,247	28,132	320,011
4030 Concessions	76,125	83,647	85,565	81,753	76,824	85,113	83,893	79,342	86,004	80,056	84,738	77,446	980,506
4040 Bad Debt	104,413	95,446	108,189	99,867	97,495	103,304	107,022	101,878	95,146	98,678	97,359	96,092	1,204,888
4050 Late Fees	101,418	98,855	98,703	99,104	91,770	98,580	92,646	102,216	97,612	94,646	95,768	93,769	1,165,088
4060 Utility Reimbursem	31,683	28,413	30,875	29,822	31,662	29,055	29,853	30,373	32,455	31,923	31,156	31,658	368,928
4070 Parking Income	14,676	14,189	13,738	13,985	15,064	15,205	14,836	15,185	14,279	13,929	14,073	14,159	173,318
4080 Application Fees	6,005	5,625	5,573	5,809	5,618	5,357	5,365	5,522	5,849	5,746	5,321	5,459	67,249
4090 Pet Rent	41,569	36,575	38,128	37,135	38,951	41,372	40,592	39,928	41,207	39,555	38,879	36,868	470,760
4100 Laundry Income	99,486	100,233	106,253	93,892	98,736	96,097	103,153	104,966	98,234	102,827	104,418	107,916	1,216,214
4110 Cable/Internet Rev	73,621	75,494	79,214	78,228	74,354	77,337	79,065	73,914	72,907	81,704	74,930	73,044	913,813
4120 CAM Reimbursements	45,156	46,334	46,317	44,424	43,898	45,075	45,437	44,319	42,309	42,154	45,923	43,317	534,661
4130 Tax Reimbursements	37,482	36,031	41,065	39,054	37,070	40,713	40,047	40,533	39,749	39,531	41,082	40,248	472,605
4140 Insurance Reimburs	113,485	103,779	104,397	111,638	106,450	113,870	110,300	110,248	113,457	112,045	113,876	102,371	1,315,918
4150 Percentage Rent	19,407	20,560	18,220	19,403	20,621	19,399	18,195	19,299	19,292	18,981	20,346	20,292	234,015
4160 Misc. Income	2,102	2,193	2,066	2,083	2,208	2,023	2,138	2,069	2,041	2,078	2,180	2,185	25,365
4170 Payroll - Manageme	2,551	2,387	2,361	2,382	2,585	2,544	2,492	2,657	2,350	2,519	2,427	2,592	29,849
4180 Payroll - Leasing	10,020	9,805	10,306	10,174	9,140	10,145	9,591	9,574	9,346	9,321	10,113	10,041	117,575
4190 Payroll - Maintena	13,563	14,842	14,094	13,266	13,963	14,001	14,589	14,699	14,276	13,699	14,042	14,562	169,596
4200 Payroll Taxes & Be	2,276	2,086	2,317	2,249	2,111	2,331	2,179	2,377	2,262	2,164	2,243	2,290	26,884
4210 Repairs - Plumbing	11,066	11,740	11,762	11,576	11,805	10,807	11,602	11,285	10,422	10,596	11,324	11,175	135,160
4220 Repairs - HVAC	6,875	6,820	6,861	6,661	6,957	7,528	6,931	7,087	7,327	7,219	6,620	7,103	83,989
4230 Repairs - Electric	2,530	2,616	2,611	2,560	2,455	2,439	2,777	2,632	2,582	2,507	2,449	2,699	30,858
4240 Repairs - Applianc	6,099	5,898	5,666	6,378	5,866	6,298	6,336	5,643	6,272	5,795	6,391	6,198	72,840
4250 Painting & Decorat	12,405	12,898	11,548	12,901	11,415	12,296	11,953	12,608	12,353	12,377	12,536	12,608	147,898
4260 Flooring	6,173	6,142	5,785	6,410	5,792	5,991	5,882	6,558	6,104	6,604	6,092	6,170	73,701
4270 Make-Ready / Turno	10,035	9,882	9,989	9,120	9,794	9,979	9,985	9,220	9,601	10,048	9,693	9,725	117,071
4280 Landscaping Contra	5,552	6,143	6,192	5,857	5,952	6,114	6,259	6,226	5,711	5,467	5,987	5,976	71,437
4290 Snow Removal	3,686	3,726	4,169	3,774	3,706	3,734	4,151	3,901	3,858	3,833	3,897	4,090	46,525
4300 Janitorial	10,983	10,258	10,825	10,724	10,334	11,108	10,368	10,141	11,229	10,100	10,085	10,259	126,413
4310 Pest Control	13,167	12,974	13,095	13,690	13,875	13,077	13,348	12,581	14,013	13,107	13,434	13,117	159,477
4320 Trash Removal	13,254	12,345	12,833	12,017	12,040	13,221	12,916	12,293	11,886	12,569	12,106	12,777	150,259
4330 Elevator Contract	1,542	1,478	1,461	1,594	1,567	1,524	1,477	1,503	1,476	1,511	1,647	1,540	18,320
4340 Fire & Life Safety	7,418	7,649	7,782	7,331	7,273	7,185	7,449	8,143	7,450	7,677	7,892	7,668	90,916
4350 Security	4,908	5,115	5,013	5,100	4,823	4,469	5,014	4,930	4,612	4,909	4,752	5,093	58,737

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Valuation Discussion

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $156,000, representing a 2.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Resident turnover has averaged 11.3% annually with renewal retention above 91.9%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses.

Leasing and Marketing

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Collections for the period were 94.4% of billed charges, with bad debt of 5.6% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. Collections for the period were 88.0% of billed charges, with bad debt of 5.1% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day.

Operating Performance

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Operating expenses totaled $428,000 or approximately 8.63 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 3.4% annually with renewal retention above 95.3%. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 3.0% annually with renewal retention above 89.2%. Operating expenses totaled $420,000 or approximately 27.69 per square foot, with real estate taxes representing the largest line item. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period. Effective gross income for the trailing period was $94,000, representing a 3.3% increase over the prior year.

Leasing and Marketing

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Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4340 Fire & Life Safety	12,253	12,647	11,896	11,508	11,752	11,242	12,372	12,410	12,189	12,400	11,574	11,521	143,762
4350 Security	6,240	5,925	6,297	6,521	6,565	6,706	6,139	6,699	5,949	6,365	6,566	6,449	76,420
4360 Electricity - Comm	7,371	6,844	6,668	7,478	7,157	6,934	6,811	6,803	6,791	7,411	7,228	6,686	84,182
4370 Gas - Common	3,259	3,091	3,218	3,257	3,198	3,122	3,131	3,179	2,984	2,940	2,983	3,083	37,443
4380 Water & Sewer	4,370	4,472	4,899	4,576	4,573	4,788	4,594	4,465	4,345	4,933	4,931	4,847	55,792
4390 Telephone/Internet	7,389	7,424	7,178	7,179	7,664	7,205	7,112	7,146	7,272	7,685	7,486	7,559	88,298
4400 Advertising	9,716	9,590	9,122	9,068	8,537	8,616	9,556	8,669	9,413	8,665	9,514	9,211	109,677
4410 Resident Events	7,059	6,771	6,888	7,053	7,203	6,454	6,939	6,742	6,435	6,393	6,901	6,636	81,476
4420 Office Supplies	8,807	9,141	8,313	9,435	8,358	8,711	9,309	8,547	8,913	8,366	8,741	8,453	105,093
4430 Legal & Profession	6,675	6,565	7,213	6,531	6,607	6,493	6,514	6,968	7,003	6,572	6,511	7,039	80,692
4440 Accounting & Audit	8,291	8,773	8,233	8,354	7,955	8,674	8,895	8,340	8,172	9,002	8,582	8,422	101,695
4450 Licenses & Permits	10,568	11,165	10,673	10,370	11,208	10,933	11,039	10,372	11,039	10,902	10,451	10,642	129,362
4460 Management Fee	8,907	9,083	8,965	8,739	9,148	8,775	8,531	8,554	8,502	8,797	9,702	9,691	107,393
4470 Property Insurance	10,096	10,937	10,786	10,951	9,973	10,165	10,868	10,500	10,833	9,962	9,892	9,861	124,824
4480 Real Estate Taxes	7,065	6,711	7,350	6,880	7,250	7,301	6,683	6,855	7,466	7,636	7,297	7,428	85,923
4490 Asset Management F	11,659	11,648	11,022	12,152	10,830	11,698	12,179	12,126	11,183	11,423	12,231	11,683	139,834
4500 Replacement Reserv	11,546	11,414	12,134	12,161	11,680	12,309	11,176	11,098	11,564	11,684	11,684	11,150	139,600
4510 Roof Repairs	3,692	3,509	3,409	3,525	3,801	3,787	3,384	3,510	3,379	3,654	3,546	3,583	42,780
4520 Parking Lot Repair	6,630	7,308	6,612	6,997	6,834	7,100	6,387	6,509	7,313	6,857	7,163	6,493	82,202
4530 Signage	2,903	3,192	2,942	2,925	2,901	3,063	3,114	3,266	3,131	3,014	3,301	3,167	36,919
4540 Tenant Improvement	5,876	6,143	6,285	5,850	6,156	5,875	6,165	6,156	6,303	5,869	6,048	6,211	72,939
4550 Leasing Commission	2,561	2,480	2,815	2,692	2,611	2,697	2,781	2,740	2,742	2,656	2,668	2,781	32,225
4000 Gross Potential Re	113,258	122,931	120,725	118,784	119,995	114,347	122,808	129,179	124,816	121,151	126,112	115,976	1,450,082
4010 Loss to Lease	30,295	29,539	32,794	30,649	31,407	31,293	30,799	28,979	30,391	29,737	31,165	31,962	369,009
4020 Vacancy Loss	22,882	23,623	23,232	22,903	23,609	26,186	24,454	23,759	24,389	24,998	24,582	24,144	288,760
4030 Concessions	113,270	105,570	107,232	103,048	105,168	111,829	111,902	103,480	100,856	102,707	106,711	99,983	1,271,756
4040 Bad Debt	34,633	34,281	31,936	31,355	35,357	33,544	31,904	34,405	32,182	31,522	35,156	34,255	400,529
4050 Late Fees	15,167	15,841	14,882	14,593	15,723	14,681	15,499	15,996	15,314	15,839	14,344	14,340	182,218
4060 Utility Reimbursem	107,121	106,084	95,628	106,218	107,007	95,377	103,736	98,194	102,409	94,564	97,371	95,428	1,209,137
4070 Parking Income	59,318	58,084	54,530	59,582	58,749	59,938	53,334	56,247	57,023	53,178	58,698	58,328	687,009
4080 Application Fees	104,907	105,461	101,823	106,130	108,234	107,970	111,450	110,593	106,661	97,487	110,771	111,702	1,283,188
4090 Pet Rent	23,635	25,321	25,019	23,315	25,946	23,571	22,985	23,587	23,093	26,093	23,212	25,287	291,063
4100 Laundry Income	40,236	40,999	40,310	40,445	38,023	41,305	41,657	41,609	41,755	38,422	41,935	37,615	484,311
4110 Cable/Internet Rev	13,113	12,356	11,833	12,959	11,975	12,020	12,157	12,681	12,826	13,028	12,715	12,291	149,955
4120 CAM Reimbursements	105,168	110,390	97,971	110,346	98,339	108,347	110,062	99,823	104,637	101,593	109,744	108,926	1,265,347
4130 Tax Reimbursements	78,964	75,390	76,393	82,731	79,425	77,416	77,523	84,662	81,179	77,167	77,636	79,846	948,331
4140 Insurance Reimburs	83,234	76,788	79,612	80,766	86,072	84,161	85,305	84,359	84,507	80,852	77,483	85,637	988,776
4150 Percentage Rent	97,315	100,408	103,831	98,268	103,585	104,844	106,985	103,936	101,216	102,578	104,934	110,882	1,238,782
4160 Misc. Income	73,281	75,732	74,514	73,606	74,818	72,336	79,573	75,333	77,025	78,868	77,403	74,354	906,843
4170 Payroll - Manageme	10,415	10,615	10,563	11,223	9,997	10,235	9,828	10,694	9,798	9,950	10,198	10,764	124,281
4180 Payroll - Leasing	1,478	1,633	1,526	1,609	1,548	1,633	1,546	1,596	1,524	1,594	1,523	1,486	18,696
4190 Payroll - Maintena	11,283	11,477	11,414	11,308	11,223	10,571	10,279	10,222	10,885	10,207	10,636	11,493	130,998
4200 Payroll Taxes & Be	10,254	9,789	9,906	9,959	10,184	9,896	9,609	10,254	10,116	9,062	9,025	10,145	118,200
4210 Repairs - Plumbing	10,766	10,952	10,945	11,463	10,507	10,335	10,556	11,751	11,058	10,736	11,578	10,368	131,015
4220 Repairs - HVAC	3,841	4,164	3,710	4,072	4,165	3,867	3,922	4,158	3,768	3,730	4,034	3,814	47,247

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Valuation Discussion

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Operating expenses totaled $291,000 or approximately 31.91 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.98x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,162 per month against an average unit size of 843 square feet.

Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Resident turnover has averaged 3.2% annually with renewal retention above 88.7%.

Property Operations

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 4.0% annually with renewal retention above 96.1%. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Resident turnover has averaged 4.4% annually with renewal retention above 94.5%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Collections for the period were 92.1% of billed charges, with bad debt of 3.7% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Income and Expense Review

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Debt service coverage ratio was 5.16x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Operating expenses totaled $175,000 or approximately 22.52 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 5.87% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Resident turnover has averaged 8.8% annually with renewal retention above 95.5%. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4230 Repairs - Electric	4,664	4,606	4,783	4,710	4,609	4,551	4,399	4,300	4,449	4,813	4,472	4,741	55,098
4240 Repairs - Applianc	5,522	5,328	5,055	5,497	5,595	5,300	5,561	5,174	4,974	5,335	5,004	5,405	63,751
4250 Painting & Decorat	1,823	1,953	1,906	1,998	1,899	1,952	2,086	2,065	1,909	1,995	1,927	1,821	23,335
4260 Flooring	7,504	7,561	6,844	7,304	7,487	7,169	7,401	7,668	7,424	7,308	7,052	7,391	88,114
4270 Make-Ready / Turno	9,748	11,048	11,024	9,875	9,978	10,918	10,235	9,887	9,921	11,080	11,139	11,142	125,996
4280 Landscaping Contra	5,928	5,954	6,406	6,374	6,792	6,475	6,328	6,461	5,991	6,202	6,776	6,186	75,874
4290 Snow Removal	3,738	3,907	3,789	3,814	3,832	3,915	3,675	3,998	3,878	3,945	3,661	3,800	45,951
4300 Janitorial	6,578	6,994	6,707	6,875	6,601	6,737	6,935	6,556	6,686	6,995	6,869	6,864	81,396
4310 Pest Control	11,341	11,005	11,453	12,013	11,752	11,153	11,716	11,160	11,070	11,091	10,792	11,564	136,111
4320 Trash Removal	7,065	7,329	7,231	7,284	7,441	7,802	7,955	7,435	7,683	7,061	7,643	7,398	89,326
4330 Elevator Contract	4,322	4,848	4,699	4,823	4,490	4,257	4,256	4,746	4,549	4,820	4,636	4,538	54,986
4340 Fire & Life Safety	2,905	2,958	3,114	2,900	2,894	3,010	3,128	3,000	3,272	3,208	3,198	3,247	36,834
4350 Security	1,989	1,901	2,017	2,009	2,069	1,959	1,868	1,943	2,129	2,121	2,040	2,003	24,045
4360 Electricity - Comm	3,697	3,586	3,534	3,613	3,844	3,590	3,530	3,759	3,456	3,767	3,441	3,595	43,412
4370 Gas - Common	5,877	6,325	5,922	6,337	5,906	5,728	5,630	6,181	6,322	5,839	6,273	6,314	72,654
4380 Water & Sewer	5,808	5,772	5,855	5,799	5,982	5,615	5,394	5,919	5,491	5,649	5,459	5,499	68,244
4390 Telephone/Internet	7,272	6,994	7,628	7,463	7,066	7,025	6,894	7,112	7,487	7,274	6,732	7,213	86,160
4400 Advertising	9,969	10,769	10,507	9,708	9,790	10,399	10,461	9,988	9,917	10,010	10,469	10,608	122,596
4410 Resident Events	7,752	7,795	7,210	7,002	6,830	7,815	7,345	6,992	7,482	7,668	7,393	7,433	88,719
4420 Office Supplies	3,937	4,080	4,199	3,988	4,332	3,938	4,232	4,015	4,062	4,434	4,067	4,203	49,488
4430 Legal & Profession	8,646	9,274	9,048	9,685	9,237	9,545	9,149	8,995	8,696	8,956	8,678	9,072	108,981
4440 Accounting & Audit	13,131	12,859	12,746	14,108	14,003	13,209	13,568	12,969	12,969	13,606	12,498	12,812	158,477
4450 Licenses & Permits	1,710	1,740	1,757	1,657	1,818	1,855	1,713	1,839	1,672	1,676	1,801	1,778	21,015
4460 Management Fee	9,037	8,519	8,792	8,468	8,492	8,941	9,479	9,253	8,374	8,453	8,829	9,181	105,817
4470 Property Insurance	1,617	1,850	1,761	1,691	1,813	1,671	1,736	1,691	1,811	1,726	1,768	1,654	20,790
4480 Real Estate Taxes	5,508	5,541	5,153	5,425	5,344	5,207	5,383	5,070	5,193	5,148	5,118	5,421	63,511
4490 Asset Management F	12,208	12,304	11,330	11,472	11,220	12,481	10,944	11,990	12,188	11,255	12,413	11,101	140,906
4500 Replacement Reserv	9,579	9,893	9,768	9,662	9,953	9,618	9,807	9,064	9,276	9,584	9,916	9,773	115,894
4510 Roof Repairs	1,919	1,930	1,885	1,831	1,952	1,891	1,994	1,846	1,745	1,929	1,851	1,739	22,512
4520 Parking Lot Repair	1,376	1,363	1,470	1,363	1,309	1,425	1,349	1,355	1,417	1,406	1,449	1,449	16,732
4530 Signage	5,727	5,996	5,722	5,597	5,854	5,614	5,906	6,177	5,629	5,638	5,921	5,965	69,743
4540 Tenant Improvement	2,182	2,164	2,240	2,243	2,242	2,155	2,175	2,188	2,236	2,348	2,166	2,370	26,709
4550 Leasing Commission	2,975	2,897	3,052	2,773	3,047	2,892	2,819	3,041	2,786	2,820	3,017	2,674	34,794
4000 Gross Potential Re	119,103	115,339	123,098	121,682	114,245	118,571	117,676	114,289	117,891	125,689	127,442	125,405	1,440,431
4010 Loss to Lease	91,474	99,347	90,779	94,230	100,277	100,298	91,769	101,263	99,263	94,408	94,445	97,654	1,155,206
4020 Vacancy Loss	3,684	3,918	4,163	4,222	3,905	3,917	3,966	4,134	3,865	3,781	4,105	4,044	47,703
4030 Concessions	45,064	45,293	46,743	41,741	46,653	46,440	44,736	46,362	45,107	41,929	44,893	44,012	538,972
4040 Bad Debt	2,541	2,439	2,519	2,536	2,311	2,393	2,245	2,255	2,227	2,546	2,515	2,502	29,030
4050 Late Fees	10,152	10,148	9,960	9,755	10,111	10,180	9,416	9,694	10,033	10,227	9,870	9,912	119,459
4060 Utility Reimbursem	25,387	27,605	27,935	25,965	28,002	27,438	26,262	26,602	27,479	25,763	25,447	26,065	319,948
4070 Parking Income	44,281	42,918	44,210	39,269	41,290	40,878	43,689	41,532	43,567	43,754	40,775	40,760	506,922
4080 Application Fees	79,453	80,623	75,287	77,892	83,169	82,548	84,166	77,768	76,375	79,500	83,408	79,288	959,478
4090 Pet Rent	68,503	71,315	76,412	74,966	70,580	73,583	75,895	69,988	69,922	71,742	73,495	75,755	872,156
4100 Laundry Income	32,002	35,191	35,734	36,102	32,124	35,687	35,623	32,419	34,635	35,930	33,881	36,509	415,838
4110 Cable/Internet Rev	10,831	10,151	10,174	10,062	10,134	11,105	10,089	10,173	9,920	10,874	10,178	10,325	124,016

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Summary and Notes

Income and Expense Review

Effective gross income for the trailing period was $279,000, representing a 6.7% increase over the prior year. Debt service coverage ratio was 5.55x on a trailing basis against a covenant minimum of 1.20x. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. The going-in capitalization rate of 7.54% reflects the in-place income and the stabilized occupancy assumption.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Effective gross income for the trailing period was $398,000, representing a 8.0% increase over the prior year.

Management Commentary

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Resident turnover has averaged 8.3% annually with renewal retention above 96.5%. Collections for the period were 92.0% of billed charges, with bad debt of 4.7% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Collections for the period were 91.8% of billed charges, with bad debt of 3.5% of gross potential income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 2.6% annually with renewal retention above 90.1%.

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